EQUITY RESEARCH REPORT · INITIATING COVERAGE

JSW Infrastructure Ltd

A captive port network doubling its capacity, priced as if the doubling were already risk-free

About the company

JSW Infrastructure Ltd (JSWIL) is India's second-largest private commercial port operator and the port arm of the JSW Group. It runs 13 port concessions on the west and east coasts with **186 MTPA** of cargo-handling capacity at June 2026, a 465,000 m^3 liquid storage terminal and two operate-and-maintain contracts at Fujairah, UAE, and a logistics arm built on the 2024 Navkar Corp acquisition and a 42-rake rail fleet.

In FY26 the company handled **122 MT** of cargo (+4%) at 62.3% utilisation. Revenue was **INR 5,361 Cr** (+20%), EBITDA INR 2,604 Cr at a 48.6% margin, and PAT INR 1,547 Cr after a INR 67.8 Cr fire loss at Fujairah. Two audited segments: Port Operation (87% of revenue) and Logistic Operation (13%).

The cargo base is concentrated twice over. JSW Group companies supplied **52%** of FY26 volume and JSW Steel alone INR 1,665 Cr, or 31%, of revenue (AR p.208). Coking coal, iron ore and thermal coal were **82%** of tonnage (AR p.36).

The Sajjan Jindal family trusts hold **73.93%** with **nil pledged**, down from 83.61% after a INR 7,503 Cr QIP and offer-for-sale in June 2026 that left the company with net cash of INR 2,769 Cr.

Investment thesis

JSWIL is executing a credible plan: three anchor-customer projects (the 30 MTPA Odisha slurry pipeline, the 30 MTPA Jatadhar port and a 36 MTPA Jaigarh/Dharamtar expansion) complete by March 2027 under take-or-pay contracts with JSW Steel, and lift capacity from 186 to about 300 MTPA. We model that delivery and still cannot reach the price. A ten-year FCFF DCF on an approved segment build returns **INR 115** per share (bull INR 123, bear INR 53) against INR 357.45. The stock trades at **30.1x** trailing EV/EBITDA, +89% above the peer median, on the lowest ROE in the set. At our cash flows the price implies a cost of capital of **6.9%**, close to the company's own borrowing cost, for a business whose customer, cargo and concessions are all finite or concentrated. We set a target of **INR 130**: the perpetuity DCF rolled 12 months forward at the cost of equity. **SELL.**

Key highlights

- Capacity **119 to 186 MTPA** since FY21 and utilisation 35% to 63.2%; Phase I takes it to ~300 MTPA by FY28.
- Management guides FY28 EBITDA of ~INR 5,000 Cr; we model INR 4,562 Cr after crediting the slurry pipeline's INR 800 Cr take-or-pay.
- Hit 3 of 3 guidance figures set three months out, but only 1 of 5 set a year or more out (volume, logistics, project dates).
- Trades at **55.9x** P/E and 30.1x EV/EBITDA vs peer medians of 27.1x and 15.9x.
- Related parties: 52% of cargo, JSW Steel 31% of revenue; rake contracts with JSW Steel approved through FY41.
- Forensic screens clean on accruals and cash conversion; capitalised interest only INR 14.9 Cr against INR 383 Cr finance cost.
- Every method we run, including a generous 14x exit (INR 236), values the stock below the market price.

RECOMMENDATION	
Rating	**SELL**
CMP	**INR 357.45**
Target price	**INR 130**
Upside	**-63.6%**

STOCK DATA AS ON 1 OCTOBER 2026	
52W H/L (INR)	**376 / 233**
Mkt cap (INR Cr)	**83,054**
O/S shares (Cr)	**232.35**
EV (INR Cr)	**81,100**
Dividend yield	**0.25%**
NSE / BSE	**JSWINFRA / 543994**
Sector	**Ports & logistics**

SHAREHOLDING (%) AS ON JUN-26	
Promoters	**73.93**
FIIs	**11.21**
DIIs	**9.19**
Public & others	**5.67**
Pledged	**Nil**
Shareholders	**4,30,425**

FINANCIAL SUMMARY (INR CR)

	FY26	FY27E	FY28E
Revenue	5,361	6,380	9,179
YoY growth	19.8%	19.0%	43.9%
EBITDA	2,604	2,877	4,562
EBITDA margin	48.6%	45.1%	49.7%
PAT	1,547	1,526	2,347
EPS (INR)	7.25	6.57	10.10
EV/EBITDA (x)	31.1	28.2	17.8
P/E (x)	49.3	54.4	35.4

FY27E/FY28E from our three-statement model. FY27E EPS on post-QIP shares.

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Consolidated basis

Economy: growth intact, cost of capital rising

REAL GDP Q1 FY27	CPI AUG-26	WPI AUG-26	REPO RATE
7.8%	**4.82%**	**9.92%**	**5.25%**
NSO, 31 Aug 2026	MoSPI	OEA	RBI Aug-26; hike expected 7 Oct

10Y G-SEC	BRENT	USD/INR
7.20%	**US$114/bbl**	**95.99**
CCIL, 1 Oct 2026	EIA, 29 Sep 2026	RBI ref., 1 Oct 2026

Source: NSO, MoSPI, Office of the Economic Adviser, RBI, CCIL, EIA; compiled in macro_pack.md (every figure dated, staleness-audited 4 October 2026)

Global backdrop

The IMF's April 2026 World Economic Outlook projects world GDP growth of **3.1% in 2026 and 3.2% in 2027**, with emerging and developing economies at 3.9%. That edition predates the West Asia escalation that has since moved Brent from US$83 a barrel in early August to **US$113.96** on 29 September (EIA spot), after a peak of US$130.80 on 15 September. The October WEO is due mid-month; the April figures are the latest available and are quoted as such.

The conflict matters to JSW Infrastructure directly, not only through the macro channel. Its Fujairah terminals sit just inside the Strait of Hormuz. Management put the Q1 FY27 cost at INR 65-70 Cr of port EBITDA in the quarter, and its FY27 volume guidance of 127 MT already assumes only about 40% of normal Fujairah throughput (Q1 FY27 call, p.15).

India: activity accelerating, money tightening

Real GDP grew **7.8%** in Q1 FY27 (NSO, 31 August 2026), nominal 10.3%, the twelfth consecutive quarter above consensus. Industrial production rose 8.0% in August with manufacturing up 9.0%. The IMF's FY27 India projection is 6.5%; the RBI raised its own to 6.7% in August.

Prices are moving the other way for a port operator's cost of capital. CPI inflation reached **4.82%** in August, the highest since December 2024, and WPI **9.92%** on energy. Eight of ten economists polled by Business Standard expect the RBI to raise the repo rate from 5.25% to 5.50% on 7 October, its first hike since February 2023. The ten-year G-sec closed at **7.20%** on 1 October, 42 bps above its August level; that yield is the risk-free rate in our WACC.

Read-through: WPI at 9.92% is a tailwind for the regulated terminals, whose tariffs index partly to WPI, but the same energy shock raises the discount rate on a business whose value is 85% terminal.

Indian ports: a capacity build-out led by private operators

India's 12 major ports handled **915.17 MMT** in FY26, up about 7% on 855 MMT in FY25 (Ministry of Ports, Shipping and Waterways via IBEF). They are only around 55% of the national total: APSEZ's own disclosure that its 451 MMT of domestic cargo was a 27.1% share implies an all-India market of roughly 1,664 MMT, a derived rather than published figure. On that base JSWIL's 122 MT is about **7.3%**, a share that includes its UAE volumes.

Installed capacity is the policy lever. The Maritime Amrit Kaal Vision targets port capacity of 3,500 MTPA by FY30 and 10,000 MTPA by FY47, from about 2,810 MTPA in FY26, as cited in the company's August 2026 presentation (p.10). Private operators are taking most of the growth: APSEZ handled **280 MMT in H1 FY27, up 15%**, while JSWIL guides to 127 MT for the full year, up 4%.

Three demand drivers

- **Steel capacity.** JSW Steel is adding 5 MTPA at Dolvi by September 2027 and planning a 13.2 MTPA integrated plant in Odisha, the demand behind JSWIL's Jaigarh, Dharamtar and Jatadhar projects.
- **Modal shift to rail.** Road carries 65% of Indian freight and rail 27% (company presentation p.10); dedicated freight corridors and Gati Shakti terminals favour port-linked rail logistics.
- **Containers and liquids.** Container traffic is the higher-realisation cargo class and the one JSWIL is entering at Mangalore and Kolkata.

Headwinds the sector carries

- **Coal transition.** 82% of JSWIL's tonnage is coking coal, iron ore and thermal coal. The company itself expects coal traffic to remain flattish as India decarbonises (AR p.36).
- **Finite concessions.** Indian port concessions run 30 years or more and revert to the authority at expiry; JSWIL's capacity-weighted remaining life is 21 years (AR p.80), 23 on Fitch's count, and its Goa terminal concession ends in 2029.
- **Tariff regulation.** Older major-port terminals (Goa, Paradip, Ennore) carry revenue sharing and limited tariff freedom; the private Maharashtra ports price commercially (Fitch, August 2026).
- **Competition for third-party cargo.** Greenfield ports such as Murbe will compete with JNPA and APSEZ's Hazira for cargo that the JSW Group does not supply.

Read-through: the sector is growing at high single digits, but JSWIL's growth over FY27-FY28 comes from its anchor customer's own expansion, not from winning share in that market.

Company history: from one Goa terminal to a 13-concession network

- **2002** Acquires AGB Goa Terminal, renamed South West Port; full operations by 2004-05.
- **2008-10** Concession for **Jaigarh** as a common-user multicargo port (2008); commercial operations from 2010.
- **2012** Operationalises **Dharamtar**, the barge port serving JSW Steel's Dolvi plant.
- **2015-21** Paradip iron ore (2015) and coal export (2016) concessions; Fujairah O&M from 2016; Ennore and New Mangalore terminals acquired 2020; Paradip coal exports commissioned 2021.
- **2022** Dibba bulk terminal O&M at Fujairah (17 MTPA); New Mangalore container terminal begins operations.
- **2023** **IPO in October** (NSE/BSE); acquires a Fujairah liquid storage terminal and a majority of PNP Port; Keni greenfield concession (30 MTPA).
- **2024** JNPA liquid berths; Tuticorin dry bulk terminal; enters logistics through the **Navkar Corp** acquisition; Murbe Letter of Intent.
- **2025** Takes over the 302-km **slurry pipeline** from JSW Utkal Steel; Jatadhar concession; Kolkata container terminal; Oman port agreement (27 MTPA).
- **2026** **INR 7,503 Cr QIP** and promoter OFS (June); Moody's upgrade to Baa3; capacity 186 MTPA at Q1 FY27.

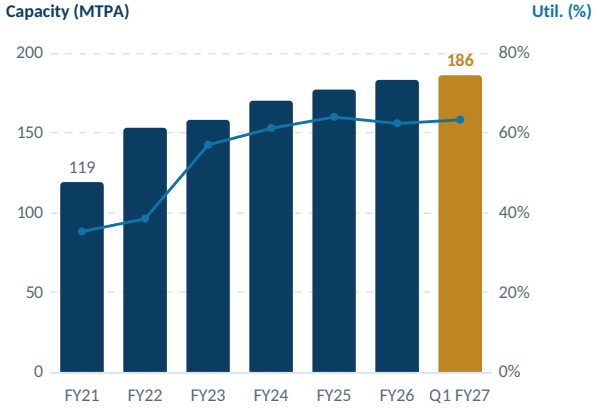
Source: company website (about us), FY26 Integrated Annual Report, Q1 FY27 media release

Business model: capacity, utilisation and an anchor customer

Port revenue is the product of installed capacity, the utilisation achieved against it and realisation per tonne. Capacity rose from 119 MTPA in FY21 to 183 MTPA in FY26 and utilisation from 35.2% to 62.3%, so volume grew 2.7x to 122 MT. FY26 port revenue of INR 4,647 Cr on 122 MT implies a blended realisation of about **INR 381 per tonne**, up from INR 361 in FY25 (note 41, AR p.220).

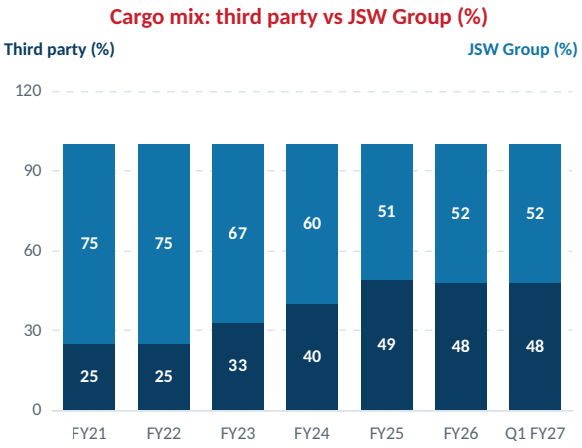
The anchor customer shapes everything. Jaigarh and Dharamtar exist to feed JSW Steel's Dolvi works, Paradip and Jatadhar serve its Odisha operations, and the slurry pipeline carries its iron ore. Related parties supplied 52% of FY26 cargo (51% in FY25), and JSW Steel paid INR 1,665 Cr, 31% of revenue (AR p.208). Part of that volume sits under arm's-length take-or-pay contracts (AR p.36), which is what gives the network its revenue visibility.

Capacity (MTPA) and utilisation (%)



Source: Investor presentation, August 2026, p.25

Read-through: Utilisation has held at 61-64% for three years while capacity grew 16 MTPA; growth from here is a capacity story, and that capacity is mostly captive.



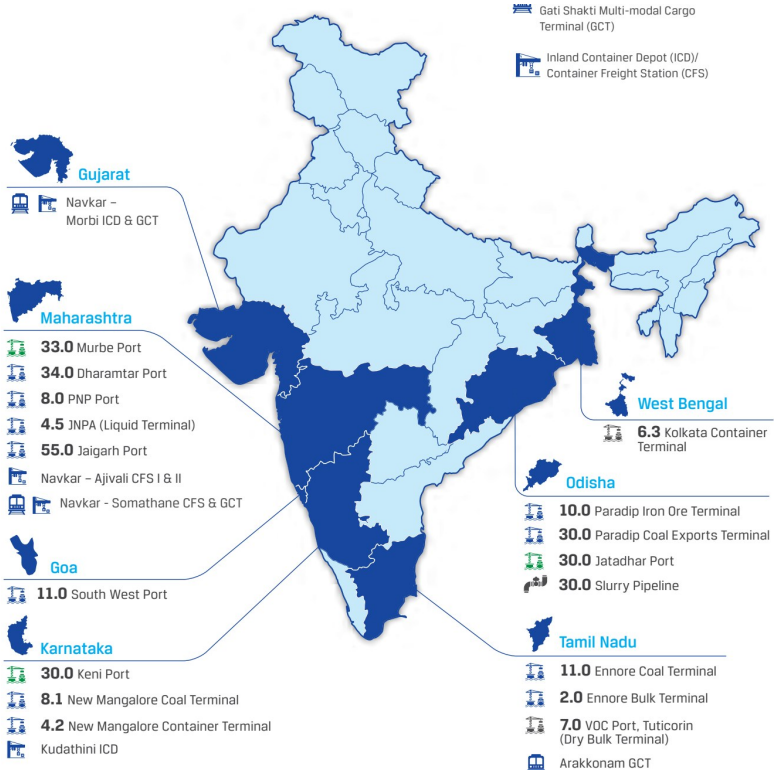
Source: Investor presentation, August 2026, p.25

Read-through: Third-party share doubled from 25% to 49% by FY25 and has since slipped to 48%; Phase I's captive pipeline and Jatadhar will push it back down.

The logistics segment (INR 715 Cr revenue, 13%) runs 42 rakes, Navkar's container freight stations and inland depots, and Gati Shakti cargo terminals. It earned a segment result of INR 83 Cr on INR 3,455 Cr of segment assets in FY26, a 2.4% pre-tax return, against INR 1,978 Cr on INR 15,704 Cr for ports (note 41, AR p.220).

The mix of the cargo base matters as much as its owner. Coking coal, iron ore and thermal coal were 82% of FY26 tonnage (83% in FY25, AR p.36), and the company itself expects coal traffic to stay flat as India decarbonises. New third-party cargo is arriving but is partly lumpy: at Jaigarh in Q1 FY27 the project and alumina cargo was one-off, while LPG is expected to recur (Q1 FY27 call, p.15).

Asset footprint and capacity by port



Geographic footprint: ports, terminals and logistics assets, FY26 Integrated Annual Report p.7

Where the capacity sits

- **Maharashtra**: 101.5 MTPA (55%)
- **Odisha**: 40.0 MTPA (22%)
- **Tamil Nadu**: 20.0 MTPA (11%)
- **Karnataka**: 12.3 MTPA (7%)
- **Goa**: 11.0 MTPA (6%)

Maharashtra, home to JSW Steel's Dolvi plant, holds more than half the network through Jaigarh, Dharamtar and PNP. The east coast (Paradip, Ennore, Tuticorin) adds 60 MTPA today and gains the slurry pipeline, Jatadhar and Kolkata in Phase I. Overseas, the company operates two Fujairah terminals under O&M contracts and owns a 465,000 m^3 liquid storage terminal there; an Oman port (27 MTPA) is agreed but not yet under concession.

Nine of the twelve operating assets are terminals inside government major ports. The older ones (Goa, Paradip, Ennore) carry revenue sharing and limited tariff freedom; the newer JNPA and Tuticorin terminals and the three Maharashtra Maritime Board ports price commercially, and Fitch notes they supply the majority of EBITDA (August 2026).

Read-through: Maharashtra's 101.5 MTPA, 55% of capacity, is all within reach of JSW Steel's Dolvi plant: the network is built around one customer's geography.

Operating capacity by port (MTPA)

Port / terminal	State	Type	MTPA	Note
Jaigarh	Maharashtra	Non-major (MMB)	55.0	Flagship; JSW Steel Dolvi feed, 32 yrs concession left (AR p.80)
Dharamtar	Maharashtra	Non-major (MMB)	34.0	Barge port on Amba river, JSW Steel Dolvi
PNP	Maharashtra	Non-major (MMB)	8.0	Majority stake acquired 2023
JNPA liquid terminal	Maharashtra	Major port terminal	4.5	Liquid berths LB3/LB4
South West Port	Goa	Major port terminal	11.0	Concession expires 2029 (Fitch); 12 MTPA consent Q1 FY27
New Mangalore coal	Karnataka	Major port terminal	8.1	Acquired 2020
Mangalore container	Karnataka	Major port terminal	4.2	Expanded to 6.0 MTPA in Q1 FY27
Paradip iron ore	Odisha	Major port terminal	10.0	Commissioned 2020
Paradip coal exports	Odisha	Major port terminal	30.0	Commissioned 2021
Ennore coal	Tamil Nadu	Major port terminal	11.0	Acquired 2020
Ennore bulk	Tamil Nadu	Major port terminal	2.0	Acquired 2020
Tuticorin bulk	Tamil Nadu	Major port terminal	7.0	Interim operations
Total (map basis)			**184.8**	**reported FY26 capacity 183 MTPA**

Source: FY26 Integrated Annual Report, geographic footprint map p.6 (kb/annual_report/images/maps/india_footprint.jpg), verified visually; operating basis Mar-26



Jaigarh
Flagship, 55 MTPA



Dharamtar
Barge port, 34 MTPA



South West Port, Goa
11-12 MTPA



Paradip terminal
Coal and iron ore, 40 MTPA



New Mangalore
Coal terminal, 8.1 MTPA



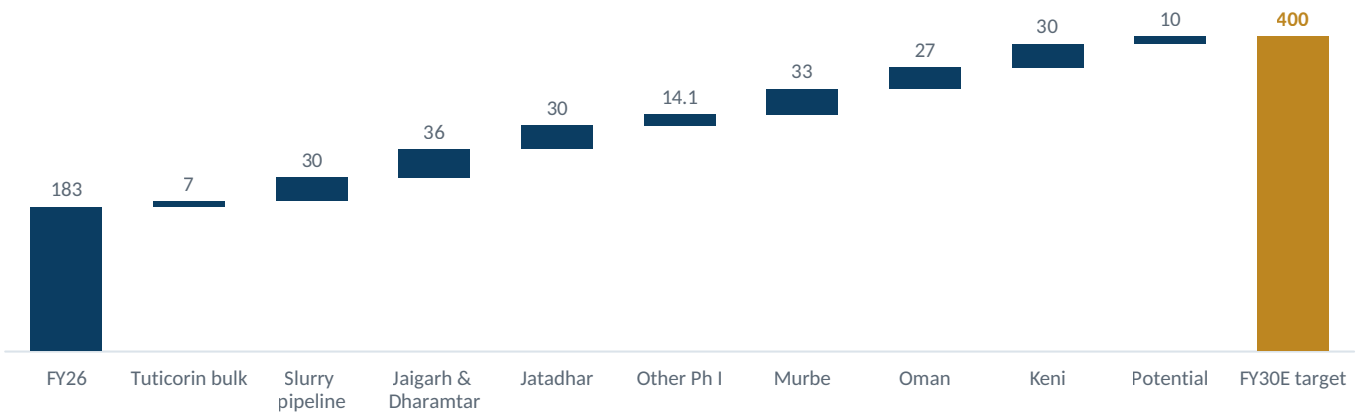
Fujairah, UAE
Liquid terminal, 465,000 m^3

Photographs: FY26 Integrated Annual Report, port pages pp.3-23.

Growth projects: Phase I is captive, Phase II is not yet started

Capacity bridge, FY26 to FY30E target (MTPA)

INR Cr



Source: FY26 Integrated Annual Report p.9

Read-through: Of Phase I's 117 MTPA, 96 MTPA (pipeline, Jatadhar, Jaigarh/Dharamtar) is built for the anchor customer; none of Phase II's 100 MTPA has reached construction.

Project schedule

Project	MTPA	Capex (INR Cr)	Due	Status
Slurry pipeline, Odisha	30.0	4,000	Mar-27	83% of pipe lowered (Jul-26); take-or-pay with JSW Steel from 1 Apr 2027
Jatadhar port, Odisha	30.0	3,050	Mar-27	Piling 80% done; concession novated from the anchor customer
Jaigarh & Dharamtar expansion	36.0	2,359	Mar-27	Tied to JSW Steel Dolvi +5 MTPA (Sep-27)
Jaigarh LPG terminal	2.0	900	FY27	PESO approval received
Kolkata container terminal (Ph I)	6.3	740	late FY28	Interim operations started Q1 FY27
Murbe port (Phase II)	33.0	n/d	FY30E	EC and DFC rail approval Q1 FY27; construction from Dec-26
Ash Shiwaymiyyah, Oman (Phase II)	27.0	n/d	FY30E	Concession awaited; bids invited Jun-26
Keni port (Phase II)	30.0	n/d	FY30E	Environmental clearance awaited (3-4 months, Jul-26)

Source: JSW Infrastructure corporate presentation, May 2026; Q1 FY27 call (kb/concall p.3-9); AR p.9

The three Phase I anchor projects cost INR 9,409 Cr between them and are all due by March 2027. Execution evidence is specific: 251 km of the 302-km pipeline lowered by June 2026 (83%), Jatadhar piling 80% complete, Jaigarh berth civil works done and Dharamtar berth construction 48% complete (May 2026 presentation; Q1 FY27 call, p.3).

Management guides INR 16,500 Cr of capex over FY27-FY28, INR 13,000 Cr for ports and INR 3,500 Cr for logistics, of which INR 5,500 Cr is already ordered (Q1 FY27 call, pp.5-6). Phase II is a different proposition: Murbe received its environmental clearance in Q1 FY27 and construction starts around December 2026, the Oman concession is unsigned and Keni awaits clearance. Our base case therefore carries Phase I only; Phase II sits in the bull scenario.

Read-through: the near-term build is low-risk precisely because it is captive, which is also why it will lower the third-party share that justified the stock's re-rating.

Board of directors



Sajjan Jindal

Chairman · Non-Executive · Promoter

Chairman of the board and the individual promoter; the Sajjan Jindal family trusts hold 73.93% of the company. Recused, with Arun Maheshwari, from the audit committee's decision on the FY27-FY41 rake contracts with JSW Steel (AR p.240).



Rinkesh Roy

Joint Managing Director & CEO

Leads the company and its expansion programme. Master's in Public Management from Harvard Kennedy School, fellowship at the Lee Kuan Yew School of Public Policy (2013) and a BA in Economics (Honours) (AR p.70). Fronts the earnings calls.



Devki Nandan Sharma

Whole-Time Director (from 1 September 2025)

Master's in Finance from London Business School, PGPX from IIM Ahmedabad and a CFA charterholder (AR p.70). Paid INR 1.16 Cr for seven months of FY26 (AR p.107).



Arun Sitaram Maheshwari

Non-Executive Director

With the JSW Group since 1995 and over three decades in steel, commodities and infrastructure (AR p.70). An interested director on JSW Steel transactions.



Lalit Chandanmal Singhvi

Non-Executive Director (from 1 September 2025)

Chartered accountant, with the company since January 2015; whole-time director and CFO until his superannuation on 31 August 2025, now a non-executive member of the audit committee (AR pp.70, 107).



Dr. Anoop Kumar Mittal

Independent Director

Civil engineer with over four decades in the construction industry, including mergers, acquisitions and the revival of ailing enterprises (AR p.71).



Anita Belani

Independent Director

MBA from XLRI and economics graduate of Miranda House; board director and CEO/CXO coach with more than three decades in human resources leadership (AR p.71).



Rajive Kumar

Independent Director

IAS officer of the 1981 batch who retired as Chief Secretary of Uttar Pradesh; Master of Public Administration from Harvard (AR p.71).



Neeta Mukerji

Independent Director

PGDM from IIM Calcutta; senior banker with over 30 years in financial institutions (AR p.71).



Kartick Maheshwari

Independent Director

Senior Partner at Khaitan & Co with over 20 years in corporate law; NLSIU Bangalore and an LLM from the University of Pennsylvania (AR p.71).

Photographs and profiles: FY26 Integrated Annual Report pp.70-71; each photograph matched to its printed name by position on the page.

Board composition, management and the guidance record

Board composition, FY26

Category	Share	Members
Independent (5)	50%	Mittal, Belani, R. Kumar, Mukerji, K. Maheshwari
Non-executive (3)	30%	S. Jindal (Chair), A. Maheshwari, L. Singhvi
Executive (2)	20%	R. Roy (JMD & CEO), D. N. Sharma (WTD)
KMP		J. Nagarajan (CFO from 1 Sep 2025), Hitesh Kanani (Company Secretary)

Source: FY26 Integrated Annual Report p.102 (board composition chart), Corporate Governance Report pp.103-107

The board meets the half-independent test, but the chair is the promoter and two of three non-executives are JSW Group veterans. On the rake contracts with JSW Steel the chairman and Arun Maheshwari recused themselves, and Lalit Singhvi stayed out of the audit committee vote (AR p.240), the right process for a company whose largest customer is a sister company.

The finance chair changed in FY26: Lalit Singhvi, CFO since 2015, superannuated on 31 August 2025 and J. Nagarajan took over on 1 September. The executive director's FY26 pay of INR 1.16 Cr for seven months is disclosed (AR p.107); the CEO's remuneration did not extract from the governance tables, so we do not benchmark it.

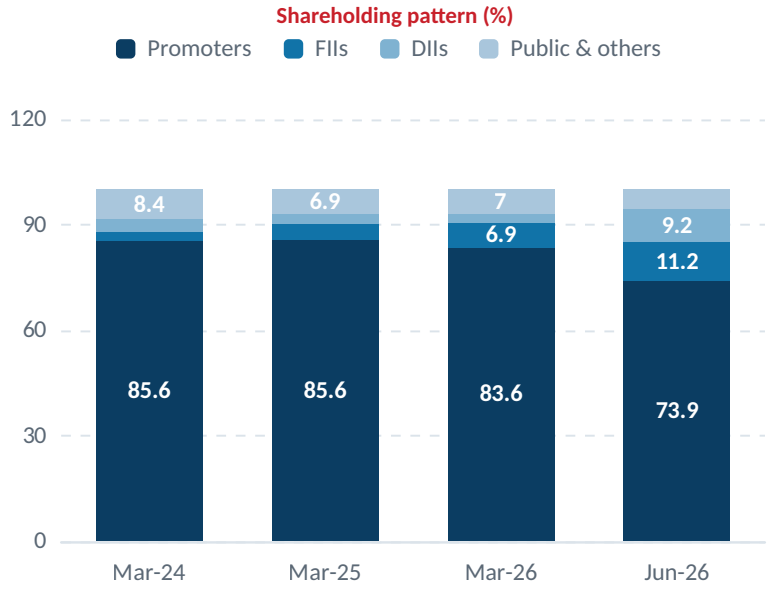
How reliable is guidance? Commitments against delivery

Commitment	Given	Guided	Outcome	Verdict
FY26 revenue	Q3 FY26 call (Jan-26)	INR 5,400 Cr	INR 5,361 Cr	Hit
FY26 operating EBITDA	Q3 FY26 call (Jan-26)	INR 2,600 Cr	INR 2,604 Cr	Hit
FY26 cargo volume	Q3 FY26 call (Jan-26)	~123 MT	122 MT	Hit
FY26 volume growth	Q1 FY26 call (Jul-25)	~10% for the year	+4% (117 to 122 MT)	Miss
FY27 volume growth	Q3 FY26 call (Jan-26)	6-7%	cut to ~4% (127 MT), Jul-26	Cut
Logistics EBITDA FY27 / FY28	Q3 FY26 call (Jan-26)	INR 450-500 / 750-800 Cr	INR 400 / 700 Cr, Aug-26 deck	Cut
SWPL Goa expansion to 15 MTPA	Q1 FY26 call (Jul-25)	Jan-26, then Jun-26	now end-FY27	Slipped twice
Slurry pipeline completion	Q1 FY26 call (Jul-25)	Mar-27	on track, 83% lowered (Jul-26)	On track

Source: Q1 FY26 and Q3 FY26 call transcripts (company website); Q1 FY27 call; August 2026 presentation

Read-through: management has delivered all three figures it set three months out and only one of five set a year or more out; we treat the FY28 guidance as credible on direction and optimistic on level, which is how the base case is built.

Shareholding: the free float quadrupled in one quarter



Source: Screener.in shareholding pattern (BSE filings); Jun-26 cross-checked to the company filing for quarter ended 30-06-2026

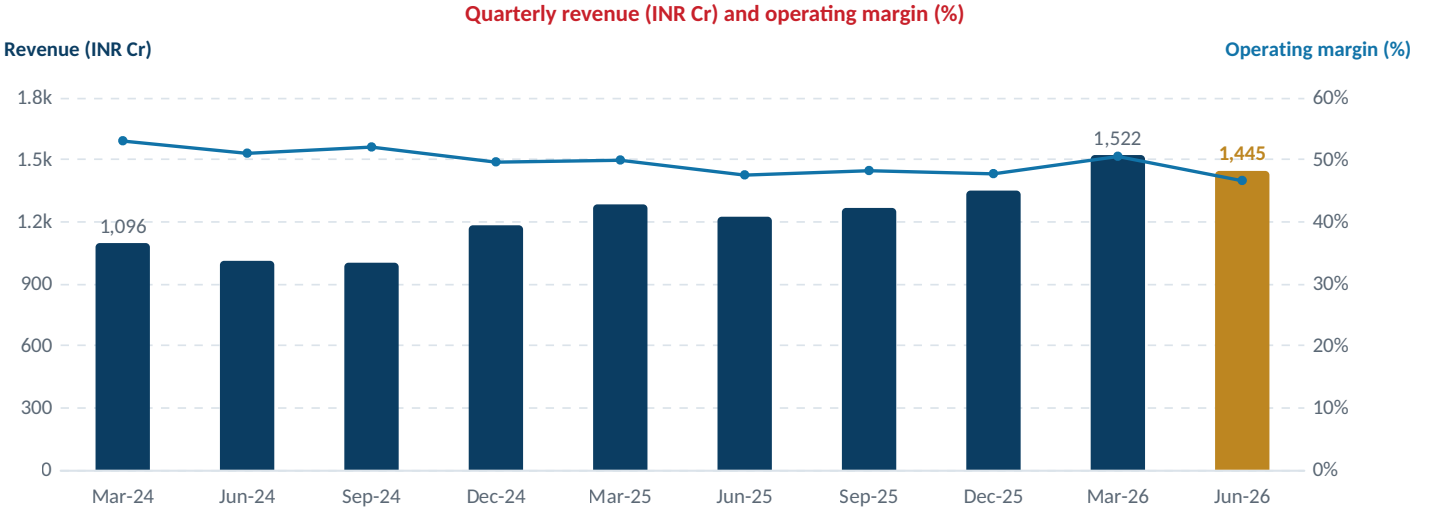
Read-through: Promoters fell from 83.6% to 73.9% in June 2026 while DIIs rose from 2.4% to 9.2% and FIIs from 6.9% to 11.2%.

The June 2026 transaction did two things at once. A primary QIP of 23.0 Cr shares at INR 285 raised INR 6,555 Cr for the company, and the Sajjan Jindal Family Trust sold 3.325 Cr shares through an offer for sale. Together they took public holding past the 25% minimum required within three years of the October 2023 listing. The shareholding filing for 30 June 2026 shows 233.00 Cr shares, of which 0.65 Cr sit in an employee welfare trust; we value on the remaining **232.35 Cr**.

No promoter shares are pledged. The same filing shows 42.0 Cr promoter shares, 18.0% of the company, under lock-in at 30 June 2026 (Table I). The QIP was priced at INR 285; the stock closed at INR 357.45 on the cover date, 25% above the price at which institutions bought INR 7,503 Cr of stock three months earlier.

Read-through: the institutional base that now sets the price entered at INR 285 in June; our target of INR 130 is below even that level.

Quarterly snapshot: revenue compounding, margin drifting



Source: Screener.in quarterly results (consolidated)

Read-through: Q1 FY27 revenue was 18% above Q1 FY26, but the 46.6% operating margin sits 0.8 pp below the year-ago 47.5% as lower-margin logistics grows and Fujairah's liquid volumes fell away.

Quarterly results (INR Cr, consolidated)

Particulars	Q4 24	Q1 24	Q2 24	Q3 24	Q4 25	Q1 25	Q2 25	Q3 25	Q4 26	Q1 26
Revenue	1,096	1,010	1,001	1,182	1,283	1,224	1,266	1,350	1,522	1,445
YoY growth	n/a	n/a	n/a	n/a	17.0%	21.2%	26.4%	14.2%	18.6%	18.1%
Operating profit	581	515	521	586	641	581	610	644	769	674
Operating margin	53.0%	51.0%	52.0%	49.6%	49.9%	47.5%	48.2%	47.7%	50.5%	46.6%
Other income	104	94	87	83	89	90	107	52	17	57
Interest	134	82	-80	256	8	55	105	93	130	102
Depreciation	134	135	134	138	140	143	149	164	158	166
Profit before tax	417	392	554	276	581	473	463	439	498	463
Net profit	**330**	**292**	**372**	**330**	**509**	**385**	**361**	**359**	**418**	**347**

Source: Screener.in quarterly results. Interest swings (negative in Q1 FY24 and Q2 FY25) reflect foreign-exchange gains booked in finance cost.

Q1 FY27 by segment (INR Cr)

Particulars	Q1 FY26	Q1 FY27	Change
Ports revenue	1,086	1,208	+11%
Ports EBITDA	561	601	+7%
Logistics revenue	138	237	+72%
Logistics EBITDA	20	73	+265%
Navkar revenue	138	191	+38%
Consolidated revenue	1,224	1,445	+18%
Consolidated operating EBITDA	581	674	+16%
Ports EBITDA margin	51.7%	49.8%	-191 bps
Logistics EBITDA margin	14.5%	30.8%	+1631 bps

Source: Q1 FY27 media release (21 Jul 2026) and call transcript pp.4-5

The segment split explains the margin drift. Ports grew revenue 11% but EBITDA only 7%, the margin losing about 190 bps to the Fujairah shortfall; logistics more than doubled its margin, but on a base one-fifth the size and partly because rake revenue is booked net of haulage. Consolidated EBITDA grew 16% on 18% revenue growth.

Read-through: logistics added INR 53 Cr of EBITDA year on year against INR 40 Cr from ports; the growth mix is already shifting toward the lower-return segment.

Q1 FY27 call: what management said and what it changes

Operations and guidance

- **Volume.** 31.0 MT (+6%), led by Jaigarh anchor volumes, Dharamtar, SWPL and Ennore; Fujairah down. FY27 guided at **127 MT**, with about 40% of normal Fujairah volumes baked in (pp.7, 15).
- **Ports.** Revenue INR 1,208 Cr (+11%), EBITDA INR 601 Cr; margin 49.8% vs 51.8% because of Fujairah, which would have added INR 65-70 Cr in the quarter (pp.5, 7). INR 8-9 Cr of one-off crane relocation cost at Jaigarh (p.11).
- **Logistics.** Revenue INR 237 Cr, EBITDA INR 73 Cr (30.6%). Navkar EBITDA INR 33 Cr (+62%). Rail-rake revenue is booked net of haulage, which flatters the margin; gross, it would be ~25% (p.14).
- **Fleet.** 42 rakes; 40 more due by January-February 2027 (80+); target ~250 in two to three years (pp.4, 14).
- **FY27 / FY28.** Revenue INR 6,850 Cr and EBITDA INR 3,000 Cr for FY27; EBITDA to nearly double by FY28 (release).

Capital and balance sheet

- **Capex.** INR 16,500 Cr over FY27-FY28 (ports 13,000, logistics 3,500); INR 6,900 Cr spent cumulatively to June 2026, INR 5,500 Cr more already ordered (pp.5-6).
- **Projects.** Pipeline 251 km lowered, due March 2027; Jatadhar novation executed; Murbe EC received, concession in two to three months, construction from December; Oman bids invited; Keni EC in three to four months (pp.3, 7-10).
- **Liquidity.** Net cash INR 2,769 Cr after the INR 6,555 Cr QIP; treasury income will rise for the rest of FY27 (pp.6, 9).
- **Rating.** Moody's upgrade to Baa3 (investment grade), stable (p.6).

What it changes for us

The call raised our confidence in Phase I timing and lowered it on everything else. FY27 volume growth was cut from the 6-7% guided in January to about 4%; Fujairah is impaired by both a fire (INR 67.8 Cr loss, AR p.225) and the conflict; and the logistics EBITDA targets were trimmed. The one upgrade that matters is the CFO's earlier statement that the pipeline's take-or-pay contract can yield **INR 800 Cr of EBITDA** (Q3 FY26 call), which we now credit in full from FY28.

Source: Q1 FY27 earnings call transcript (21 July 2026), page references to the transcript PDF; Q1 FY27 media release; Q3 FY26 call transcript (January 2026).

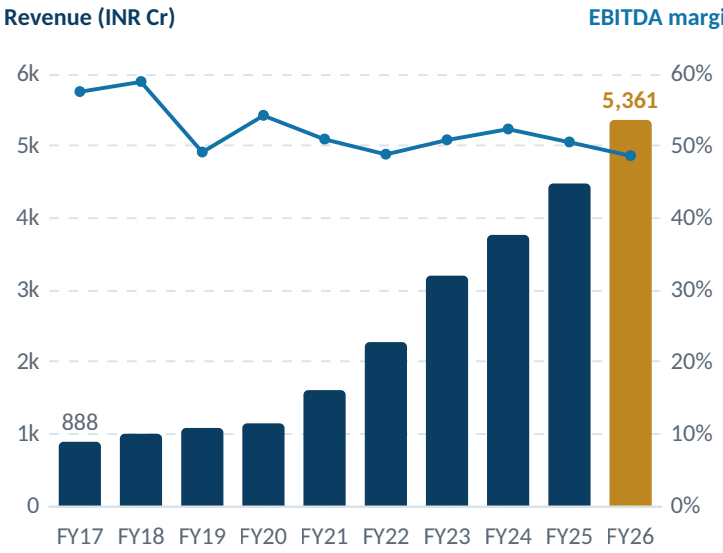
Ten-year P&L: 6x revenue, margins held near 50%

Consolidated P&L (INR Cr)

Particulars	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Revenue from operations	888	998	1,080	1,143	1,604	2,273	3,195	3,763	4,476	5,361
YoY growth	n/a	12.4%	8.2%	5.8%	40.3%	41.8%	40.5%	17.8%	18.9%	19.8%
Operating expenses	377	410	550	524	787	1,164	1,572	1,795	2,214	2,757
EBITDA	**511**	**588**	**530**	**619**	**816**	**1,109**	**1,623**	**1,968**	**2,262**	**2,604**
EBITDA margin	57.5%	58.9%	49.1%	54.2%	50.9%	48.8%	50.8%	52.3%	50.5%	48.6%
Other income	57	77	101	94	75	106	176	266	353	266
Depreciation	82	157	171	202	271	370	391	436	547	614
Interest	90	130	177	277	228	420	596	332	266	383
Profit before tax	396	377	284	234	393	426	811	1,465	1,803	1,873
Effective tax rate	21.5%	25.6%	4.2%	16.1%	27.5%	22.4%	7.6%	20.8%	15.6%	17.4%
Net profit (owners)	**310**	**268**	**267**	**190**	**291**	**328**	**740**	**1,156**	**1,503**	**1,523**
PAT margin	35.0%	26.8%	24.7%	16.7%	18.2%	14.4%	23.2%	30.7%	33.6%	28.4%

Source: Screener.in (consolidated); FY26 other income is net of the INR 79.7 Cr exceptional item (AR p.220), which Screener nets here. Pre-FY23 EPS is not comparable: shares were split and bonused before the 2023 IPO.

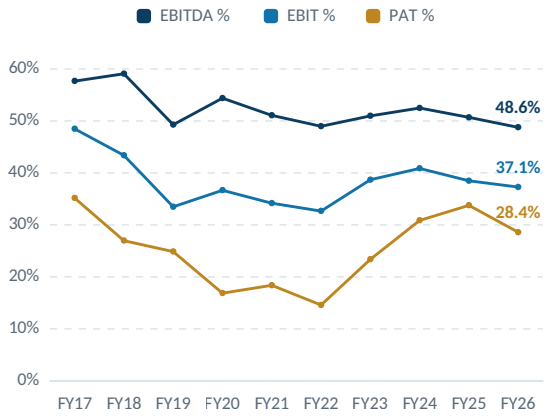
Revenue (INR Cr) and EBITDA margin (%)



Source: Screener.in, consolidated

Read-through: Revenue compounded 27% a year over five years while the EBITDA margin stayed between 48% and 53%: growth came from capacity, not pricing power.

EBITDA, EBIT and PAT margins (%)



Source: Screener.in, consolidated

Read-through: The EBITDA-to-EBIT gap widened from 16.3 pp in FY22 to 11.5 pp in FY26 as depreciation on new berths and the Navkar assets arrived.

Growth decomposes cleanly. Between FY21 and FY26 volume grew from 46 MT to 122 MT (2.65x) while revenue grew from INR 1,604 Cr to INR 5,361 Cr (3.34x): roughly 80% of the growth was tonnage, the rest realisation and, from FY25, the logistics segment. FY26 alone added INR 885 Cr of revenue, of which INR 465 Cr came from logistics (INR 250 Cr to INR 715 Cr) and INR 421 Cr from ports on +4% volume and +5.5% realisation (note 41, AR p.220). The margin fell 197 bps to 48.6% on exactly that mix shift.

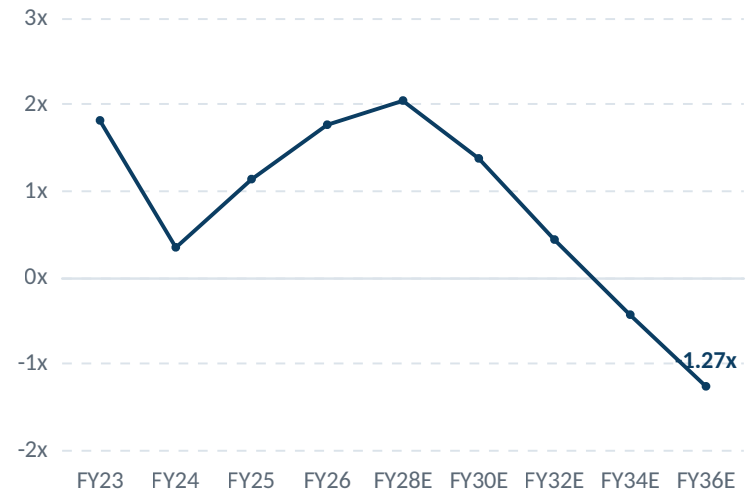
Balance sheet and leverage: net cash again after the QIP

Consolidated balance sheet (INR Cr)

Particulars	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Equity capital	56	60	60	60	60	60	360	410	415	417
Reserves	1,798	2,553	2,827	2,488	2,831	3,212	3,635	7,616	9,282	10,460
Borrowings	1,599	1,732	2,051	3,103	3,946	4,740	4,568	4,758	5,042	6,899
Other liabilities	628	840	762	1,085	1,286	1,165	750	909	2,068	2,439
Total liabilities & equity	**4,082**	**5,185**	**5,701**	**6,736**	**8,123**	**9,177**	**9,312**	**13,694**	**16,807**	**20,215**
Net block	2,730	3,186	3,256	3,948	4,924	6,134	5,975	7,757	9,523	10,527
Capital work in progress	380	633	862	752	1,125	80	46	132	2,020	3,188
Investments	95	28	230	376	296	283	307	244	183	25
Cash & bank	45	328	102	163	314	1,038	1,632	4,090	2,482	2,318
Receivables	198	294	308	502	412	601	402	677	809	1,058
Net debt	1,554	1,403	1,949	2,940	3,631	3,702	2,936	668	2,560	4,581
Net debt / EBITDA (x)	3.04	2.39	3.67	4.75	4.45	3.34	1.81	0.34	1.13	1.76
Interest coverage (x)	4.8	3.3	2.0	1.5	2.4	1.8	2.1	4.6	6.5	5.2

Source: Screener.in (consolidated). Net debt here is borrowings less cash & bank; the company's own figure also nets other bank balances.

Net debt / EBITDA (x), actual and projected



Source: Screener.in; our three-statement model (FY27E onward)

Read-through: Leverage peaks near 2x in FY28-FY29 as INR 16,500 Cr of capex lands, then falls to net cash by FY34 with no further equity.

Leverage has been cyclical with the capex programme. Net debt/EBITDA fell from a peak of 4.75x in FY20 to 0.34x in FY24 on IPO proceeds, rose to 1.76x in FY26 as capital work in progress built to INR 3,188 Cr, and the June 2026 QIP returned the company to net cash of INR 2,769 Cr. Borrowings of INR 6,899 Cr at March 2026 were almost 60% US dollar notes (USD 400m due 2029, Fitch), naturally hedged by UAE revenue and dollar-denominated vessel charges.

The covenant that matters is Fitch's: a downgrade trigger at total debt/EBITDA sustained above 4.0x. Its rating case, which includes Phase II, peaks at 3.5x in FY29; our Phase I base case peaks near 2x. Interest coverage of 5.2x in FY26 is comfortable.

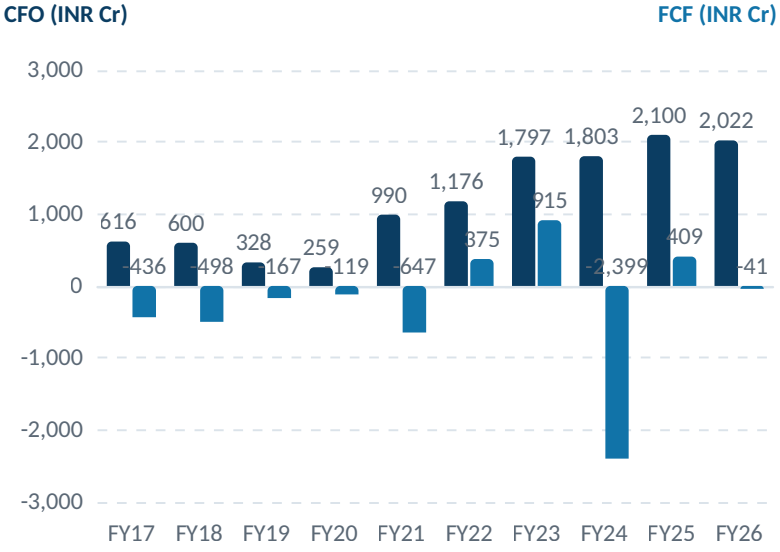
Working capital, capex and cash flow

Cash flow (INR Cr)

Particulars	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Cash from operations	616	600	328	259	990	1,176	1,797	1,803	2,100	2,022
Cash from investing	-1,052	-1,098	-495	-378	-1,637	-801	-883	-4,202	-1,691	-2,062
Cash from financing	387	540	140	226	641	3	-825	2,504	-521	227
Capex (derived)	n/a	865	471	783	1,620	534	198	2,305	4,200	2,786
CFO / EBITDA	121%	102%	62%	42%	121%	106%	111%	92%	93%	78%
Receivable days	n/a	90	102	129	104	81	57	52	61	64
Fixed asset turnover (x)	n/a	0.34	0.34	0.32	0.36	0.41	0.53	0.55	0.52	0.53

Source: Screener.in; capex derived as change in net block plus change in CWIP plus depreciation, so it includes acquired assets (Navkar FY25, slurry pipeline FY25).

CFO and FCF (INR Cr)



Source: Screener.in; model.json ratios

Read-through: CFO has averaged 96% of EBITDA over five years, but FCF turned negative in FY25-FY26 as the build-out began; it stays negative until FY29 in our model.

Capital allocation, FY17-FY26

Over ten years the company generated INR 11,691 Cr of operating cash and spent about INR 13,763 Cr on fixed assets and acquired infrastructure, funded by the 2023 IPO, debt and the FY27 QIP. Dividends began only in FY24 (10-12% payout). The returns test is ROIIC: incremental NOPAT over incremental invested capital ran at 57% (three-year rolling) in FY24 and has since fallen as INR 6,700 Cr of invested capital went in during FY25-FY26 for INR 431 Cr of extra NOPAT (6.4%), below our 11.5% WACC, with much of that capital still in CWIP.

Receivable days of 64 in FY26 (Screener basis 72) are high for a port, a consequence of group customers on credit terms. Payables are disclosed for two years only (INR 349 Cr FY25, INR 374 Cr FY26, AR p.180), so payable days carry no trend. Fixed asset turnover of 0.5x reflects a business whose assets earn over 21-30 year concessions.

Read-through: the next two years are the most capital-intensive in the company's history: INR 16,500 Cr against ten-year cumulative CFO of INR 11,691 Cr.

Ratio analysis

Profitability and returns (%)

Particulars	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
EBITDA margin	57.5%	58.9%	49.1%	54.2%	50.9%	48.8%	50.8%	52.3%	50.5%	48.6%
EBIT margin	48.3%	43.2%	33.3%	36.5%	34.0%	32.5%	38.5%	40.7%	38.3%	37.1%
PAT margin	35.0%	26.8%	24.7%	16.7%	18.2%	14.4%	23.2%	30.7%	33.6%	28.4%
ROE	n/a	12.0%	9.7%	7.0%	10.7%	10.6%	20.4%	19.2%	17.0%	14.8%
ROCE	n/a	11.1%	7.8%	7.9%	8.7%	10.0%	14.9%	14.3%	12.5%	12.2%
ROIC	n/a	8.6%	7.8%	6.8%	6.6%	8.5%	16.4%	15.5%	13.8%	11.9%

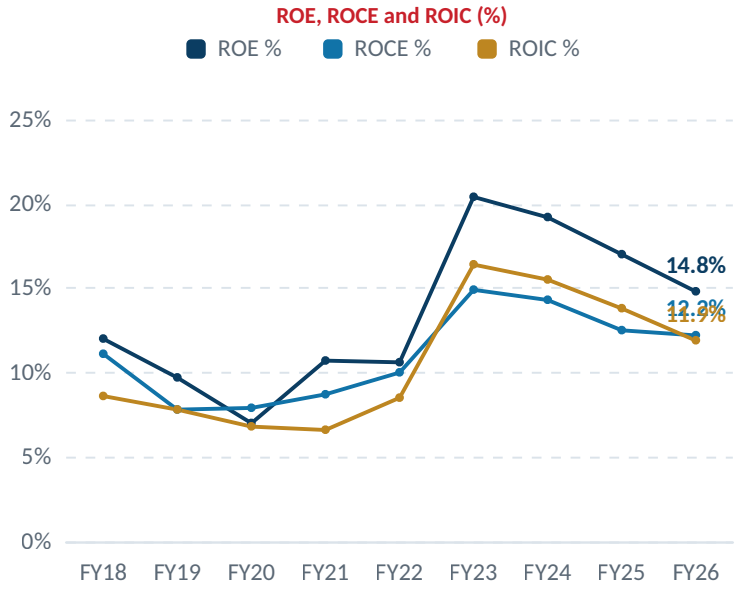
Source: model.json ratios (averages of opening and closing balances)

Leverage, efficiency and cash

Particulars	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Debt / equity (x)	0.86	0.66	0.71	1.22	1.36	1.45	1.14	0.59	0.52	0.63
Asset turnover (x)	n/a	0.20	0.18	0.17	0.19	0.23	0.29	0.25	0.23	0.24
CFO / PAT	198%	224%	123%	136%	340%	359%	243%	156%	140%	133%
FCF / sales	-49%	-50%	-15%	-10%	-40%	16%	29%	-64%	9%	-1%
EPS (INR)	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a

Source: model.json ratios; inventory days and the cash conversion cycle are suppressed under the infrastructure sector profile (inventory is spares). Gross margin is not meaningful: there is no raw-material line.

Returns: ROCE has halved from its FY24 peak while the base grows



Source: model.json ratios (average-balance basis)

Read-through: ROCE fell from 14.3% in FY24 to 12.2% in FY26 (company basis 20.9% to 14.9%) as capital work in progress and the Navkar and pipeline acquisitions entered the base before earning.

JSWIL's returns are respectable for a port and below its valuation. ROCE peaked in FY24 on full utilisation of the FY21-FY23 capacity and has since slid with the build-out; the company's own TTM ROCE was 13.4% at June 2026 (presentation p.25). ROE was 14.8% in FY26 and will fall in FY27 as INR 6,555 Cr of new equity sits on the balance sheet before the projects it funds earn.

Net profit margin	×	Asset turnover	×	Equity multiplier	=	ROE
28.4%		0.24x		2.14x		14.8%
FY26		concession assets		pre-QIP		

Five-step, FY26: tax burden 0.95x, interest burden 0.81x, operating margin 37.1%, asset turnover 0.24x, equity multiplier 2.14x. ROE is a high-margin, low-turnover identity: a 1 pp change in margin moves ROE far less than a 0.05x change in turnover, which is why utilisation of the new capacity decides the return.

Return on incremental invested capital

Particulars	FY20	FY21	FY22	FY23	FY24	FY25	FY26
NOPAT (INR Cr)	350	396	574	1,138	1,213	1,448	1,644
Invested capital (INR Cr)	5,488	6,523	6,974	6,931	8,695	12,257	15,459
Change in NOPAT	6	45	178	564	75	235	196
Change in invested capital	651	1,034	452	-43	1,764	3,562	3,202
ROIIC, 3-year rolling	**n/a**	**3.6%**	**9.1%**	**36.9%**	**56.7%**	**40.2%**	**9.6%**

Source: model.json (NOPAT = EBIT x (1 - tax); invested capital = equity + debt - cash). Single-year ROIIC is not shown: FY23-FY24 swing between +125% and -173% on timing alone.

Read-through: three-year rolling ROIIC fell from 57% to 10%; FY25-FY26 added INR 6,764 Cr of invested capital for INR 431 Cr of NOPAT (6.4%), below our 11.5% WACC. The FY28 step-up in EBITDA is what has to lift it, and that is the bet the price makes.

Forensic screens, auditor and related parties

Forensic screen

Test	Value	Verdict
CFO / PAT (10-yr mean)	205.1%	PASS
Receivables growth – Sales growth (5-yr avg)	-1.5 pp	PASS
Inventory growth – Sales growth (5-yr avg)	-18.8 pp	PASS
Sloan accrual ratio (5-yr mean)	-5.5%	PASS
Interest coverage (latest)	5.2x	PASS
Altman Z' (book equity, FY26)	1.25	GREY
Piotroski F (FY26)	4/7	WATCH
Borrowing cost capitalised, FY26	INR 14.9 Cr	PASS

Source: model.json forensic block; capitalised interest from consolidated notes (AR p.192)

Auditor

Shah Gupta & Co issued an unmodified opinion on the FY26 consolidated statements, with key audit matters (AR pp.175-177). No qualification, emphasis of matter or going-concern paragraph.

Related-party transactions

Revenue from JSW Steel was **INR 1,665 Cr** in FY26 (FY25 INR 1,446 Cr), with further sales to JSW Vijayanagar Metallics (INR 139 Cr), JSW Energy (INR 64 Cr) and JSW Cement (INR 44 Cr). In FY25 the company paid JSW Utkal Steel INR 1,661 Cr for the slurry pipeline project and in FY26 sold INR 670 Cr of goods and services to JSW Shipping and Logistics (AR p.208). The AGM notice seeks approval for up to INR 4,032 Cr of cargo handling at Dharamtar for JSW Steel to 30 June 2030, described as the remaining term of the cargo agreements, and INR 11,030 Cr of rake services over 15 years, 75% of it pass-through rail freight (AR pp.227, 239-241).

Contingent liabilities

INR 148.9 Cr at March 2026, up from INR 61.1 Cr, almost all disputed GST input credit (INR 123.8 Cr vs INR 27.4 Cr), 0.2% of market capitalisation (note 34, AR p.206). The FY26 exceptional item was a INR 67.8 Cr fire loss at the Fujairah liquid terminal (note 48, AR p.225).

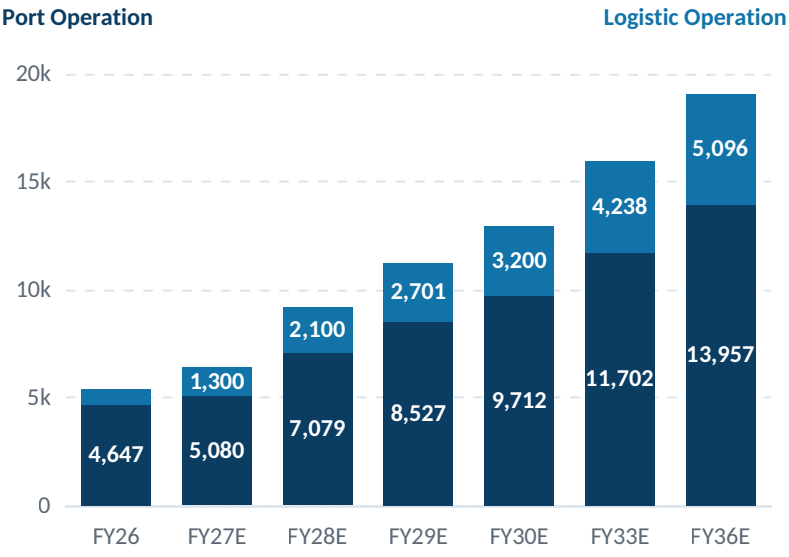
The accrual screens are clean. CFO has averaged 205% of PAT over ten years and the Sloan accrual ratio is negative every year. Screener flags that the company 'might be capitalising interest'; the notes put capitalised borrowing cost at INR 14.9 Cr in FY26 (FY25 INR 16.5 Cr) against INR 383 Cr of finance cost, which is immaterial.

The two scores read worse than the business. Altman Z' of 1.25 sits in the grey zone because the model was calibrated on manufacturers: a concession operator has negative working capital and asset turnover of 0.2x by construction. Piotroski scores 4/7, failing on roa improving, debt / assets falling, current ratio rising; all three are capex-cycle effects, not earnings quality, and the share-issuance test could not be scored on FY26 data (the QIP came in FY27).

Read-through: nothing here suggests the accounts overstate earnings; the governance question is dependence, not disclosure, and the Dharamtar agreement's June 2030 end date is the one to watch.

Forecasts: Phase I delivered, FY28 guidance not assumed

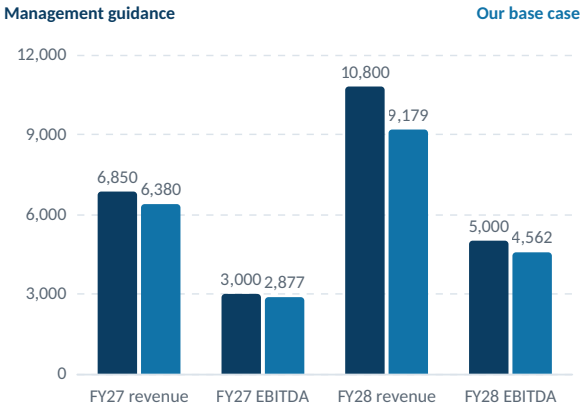
Revenue build by segment (INR Cr)



Source: Our segment build (capacity x utilisation x realisation; volume x price)

Read-through: Logistics rises from 13% to 27% of revenue by FY36; ports reach INR 9,712 Cr by FY30, matching Fitch's rating case of INR 9,700 Cr for ports and pipeline.

Management guidance vs our base case (INR Cr)



Source: Q1 FY27 media release; August 2026 presentation p.14; our model

Read-through: We sit 7% below FY27 revenue guidance and 15% below FY28; on EBITDA the FY28 gap narrows to 9% because the pipeline's take-or-pay earns at a utility margin.

Projected financial statements (INR Cr)

Particulars	FY26	*FY27E*	*FY28E*	*FY29E*	*FY30E*	*FY31E*	*FY36E*
Revenue	5,361	*6,380*	*9,179*	*11,228*	*12,912*	*13,973*	*19,053*
EBITDA	**2,604**	***2,877***	***4,562***	***5,401***	***6,146***	***6,609***	***8,936***
EBITDA margin	48.6%	*45.1%*	*49.7%*	*48.1%*	*47.6%*	*47.3%*	*46.9%*
Depreciation	614	*730*	*1,234*	*1,738*	*1,860*	*1,870*	*1,956*
Interest expense	383	*483*	*602*	*745*	*715*	*571*	*477*
Profit after tax	**1,523**	***1,526***	***2,347***	***2,431***	***2,957***	***3,433***	***6,067***
EPS (INR)	6.56	*6.57*	*10.10*	*10.46*	*12.73*	*14.78*	*26.11*
Capex	1,618	*8,001*	*8,500*	*3,503*	*2,001*	*1,817*	*2,629*
Cash from operations	951	*2,746*	*3,074*	*3,820*	*4,543*	*5,149*	*7,830*
Net debt	4,581	*2,575*	*9,291*	*10,004*	*8,424*	*5,886*	*-11,338*

Shaded italic columns are projections; the dashed rule marks the last reported period.

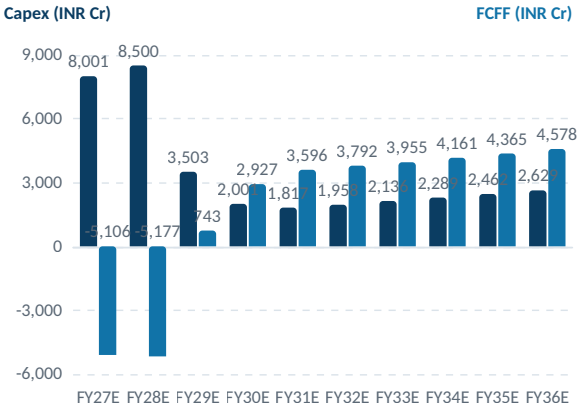
Source: Our three-statement model (financial-model skill), linked P&L, balance sheet and cash flow; balance sheet ties every year. FY26 is reported (EPS on the model's post-QIP share count; reported FY26 EPS INR 7.25).

Key assumptions

Driver	Value	Basis
Volume FY27 / FY28 / FY30	127 / 171 / 219 MT	FY27 guided; FY28 in the 165-175 MT range guided in Jan-26
Realisation growth	+5% FY27, then +3.5%	Q1 FY27 +5%; Fitch assumes 3% tariff growth
Slurry pipeline EBITDA	INR 800 Cr from FY28	Take-or-pay from 1 Apr 2027 (CFO, Q3 FY26 call)
Logistics revenue FY28	INR 2,100 Cr	Below INR 2,800 Cr guidance; guidance cut once already
Port EBITDA margin	51% FY27 to 54% FY30	Fitch rating case 52% to 54%
Capex FY27 / FY28	INR 8,000 / 8,500 Cr	INR 16,500 Cr guided; Phase II excluded
Tax rate	22%	FY26 effective 17.4%, rising toward 25.17%
Terminal growth	4.0%	Finite concessions, coal mix, Dharamtar 2030

Source: assumptions_evidence.md: every driver cited to a page with a confidence level

Capex and FCFF (INR Cr)



Source: Our DCF forecast

Read-through: FCFF is INR -5,106 Cr and INR -5,177 Cr in FY27-FY28, turns positive in FY29 and reaches INR 4,578 Cr by FY36, so 75% of enterprise value sits beyond the explicit decade.

Valuation: ten-year FCFF DCF (primary method)

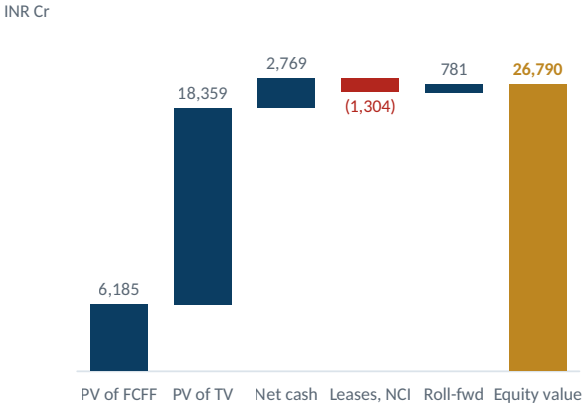
The approved modelling strategy makes the FCFF DCF the primary method: cash flow is positive in all ten reported years, the capital programme is guided, and value lies in a long but finite stream of concession cash flows. EV/EBITDA against peers is the cross-check; a sum-of-the-parts and P/E are secondary. EV/sales is ruled out because port and logistics margins (53% vs 20%) differ too much for one sales multiple; NAV because concession assets revert to the port authorities and are carried at cost; FFO/AFFO because this is not an InvIT; and FCFE because leverage is a management choice in transition, from net debt to net cash and back as INR 16,500 Cr is spent.

WACC build

Component	Value
Risk-free rate	7.20%
Equity risk premium	5.50%
Beta	0.93
Cost of equity (CAPM)	12.33%
Cost of debt (pre-tax)	7.00%
Tax rate	22.00%
Cost of debt (post-tax)	5.46%
Target debt weight	12.00%
WACC	11.51%

Source: Risk-free: CCIL 10Y G-sec 7.20%, 1 Oct 2026. Beta 0.9 raw (published 0.76-0.82; peers 0.9-1.3), Blume-adjusted. ERP 5.5%, house convention. Mid-year discounting from the 30 Jun 2026 net-cash date: FY27 counts for the 75% of the year after it, and equity is rolled to the 1 Oct cover date at the cost of equity.

Enterprise value to equity value (INR Cr)



Source: model.json

Read-through: Terminal value is 75% of EV. It is funded: at a 12% return on new capital (JSW's FY24-26 average ROIC), 4% growth needs 33% of NOPAT reinvested, where Gordon on FY36 cash flow would have assumed a 25% return on every new rupee.

Enterprise to equity value (INR Cr)

Item	Value
PV of explicit FCFF	6,185
PV of terminal value	18,359
TV as % of EV	74.8
Enterprise value	24,544
Add: net cash (30 Jun 2026)	2,769
Less: lease liabilities (Ind AS 116)	-489
Less: minority interest (book)	-815
Equity value at 30 Jun 2026	26,009
Roll forward to 1 Oct 2026 (cost of equity)	782
Equity value	26,790
Shares outstanding (Cr)	232.35
Intrinsic value per share (INR)	**115**

Source: model.json

FCFF forecast (INR Cr)

Particulars	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E	FY36E
Revenue	6,380	9,179	11,228	12,912	13,973	14,946	15,938	16,952	17,974	19,053
Growth	19.0%	43.9%	22.3%	15.0%	8.2%	7.0%	6.6%	6.4%	6.0%	6.0%
EBIT	2,148	3,328	3,663	4,286	4,739	5,203	5,634	6,077	6,529	6,980
NOPAT	1,675	2,596	2,857	3,343	3,697	4,058	4,395	4,740	5,093	5,444
Add: D&A	730	1,234	1,738	1,860	1,870	1,866	1,873	1,891	1,918	1,956
Less: capex	-8,001	-8,500	-3,503	-2,001	-1,817	-1,958	-2,136	-2,289	-2,462	-2,629
Less: change in NWC	489	-507	-349	-274	-154	-175	-177	-181	-184	-193
FCFF	**-5,106**	**-5,177**	**743**	**2,927**	**3,596**	**3,792**	**3,955**	**4,161**	**4,365**	**4,578**

All periods shown are projections.

Source: model.json: free cash flow from the linked three-statement model, whose balance sheet ties in every year, so the DCF values a company that funds itself. The Excel model's DCF sheet computes the same rows as live formulas.

What the price assumes, and what moves our value

Sensitivity: WACC x terminal growth (INR per share)

WACC \ g	3.0%	3.5%	4.0%	4.5%	5.0%
10.5%	136	137	139	141	144
11.0%	124	125	126	128	129
11.5%	114	**115**	**115**	116	117
12.0%	105	105	106	106	106
12.5%	97	97	97	97	97

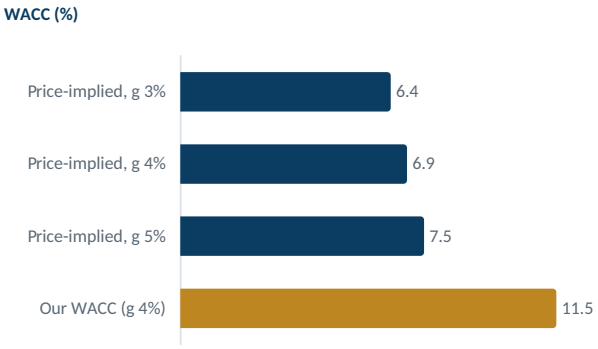
model.json. Every cell sits below the INR 357 share price.

Scenarios

Case	Prob.	Y1 growth	Exit EBIT %	g	INR/share	TV % EV
Bear	25%	15.0%	28.5%	3.0%	53	87%
Base	50%	19.0%	36.6%	4.0%	115	75%
Bull	25%	27.8%	35.8%	4.5%	123	89%
Probability-weighted					**102**	

Source: Bull: guidance met plus Phase II and Fitch-style logistics; bear: anchor projects slip two quarters, coal flat, Dharamtar and Goa renew on worse terms.

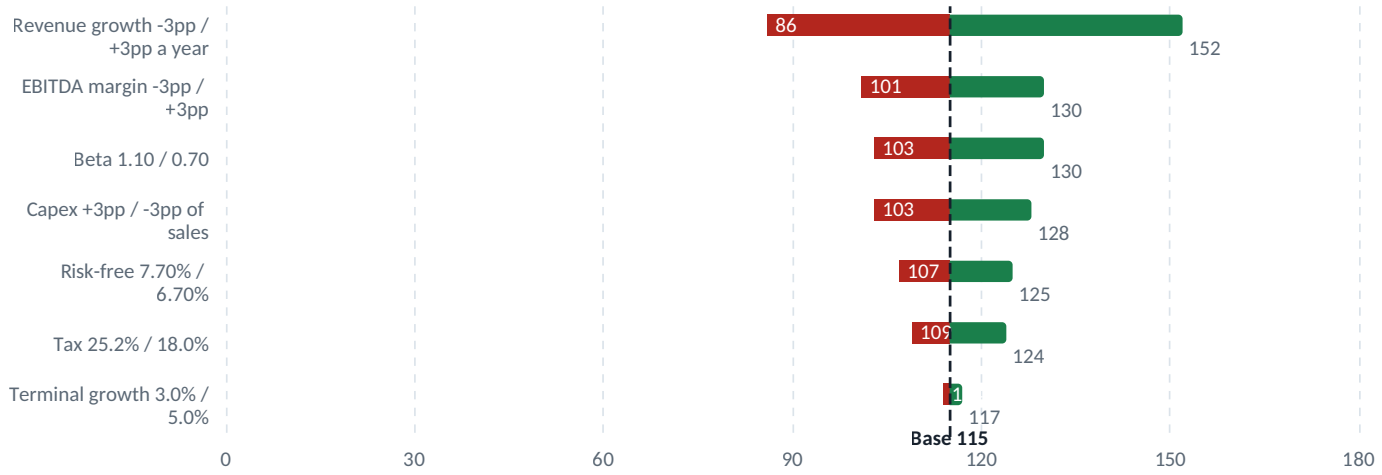
WACC implied by the share price vs ours (%)



Source: Our FCFF path discounted to the market EV at the cover date

Read-through: At our cash flows the market price requires a WACC of 6.9% (4% terminal growth), against our 11.51% and a 7.0% pre-tax cost of debt.

What moves the value (INR per share, base case)



Source: Model re-run with one driver flexed at a time

Read-through: Revenue growth -3pp / +3pp a year is the widest bar (INR 86 to 152). The most favourable single flex, INR 152, is still INR 205 below the price.

Cross-checks and the target price

The terminal value, three ways

The perpetuity at 4.0% growth and 11.51% WACC implies an FY36 exit at **5.6x** EV/EBITDA. That is low against peers today (median 15.9x) but it is the multiple of an ex-growth asset with roughly ten years of concession left on a capacity-weighted basis by then. Re-running the same cash flows to an explicit exit gives:

DCF value by terminal convention

Terminal	INR/share	vs CMP
Perpetuity, g 4% (5.6x implied)	115	-68%
10x EV/EBITDA exit (cross-check)	179	-50%
14x EV/EBITDA exit	236	-34%
Peer median 15.9x exit	264	-26%

Source: model.json FCFF and FY36 EBITDA; exit values discounted at the model WACC

Sum of the parts (secondary)

Valuing FY27E port EBITDA (INR 2,591 Cr) at APSEZ's own 19.6x, the most expensive peer, and logistics (INR 286 Cr) at CONCOR's 15.9x, plus net cash, gives **INR 250** per share. Even at the sector's richest multiple the parts do not add up to the price.

Target price

The target is the perpetuity DCF, INR 115 today, rolled 12 months forward at the 12.3% cost of equity less the FY27E dividend of INR 0.79: INR 129, rounded to **INR 130**, -64% from INR 357.45. Under the house rating policy (SELL below -10%, BUY above +15%) the rating is mechanical: **SELL**.

Why not a 10x exit. An earlier draft anchored the target on a 10x exit multiple (INR 179 today). At our 12% return on new capital that multiple needs 10.9% growth in perpetuity, against an 11.51% WACC, so it is not a value our own cash flows support. It stays in the table as what a buyer paying a sector multiple in FY36 would imply.

The other methods sit around the target rather than contradict it: probability-weighted INR 102, a 14x exit at INR 236, the sum of the parts at INR 250 and the peer EV/EBITDA band at INR 165-218. The one method that reaches the price is the market's own: a cost of capital near 6.9%.

Where the DCF and the market disagree. The market is paying for the 2.2x capacity plan, the investment-grade balance sheet and JSW Steel's growth as if all three were contracted. Phase I largely is; Phase II, the logistics ramp and the post-2030 renewal of the Dharamtar cargo agreement are not. A 30x trailing multiple leaves no room for any of them to slip, and management's own longer-dated guidance has slipped in four of five cases.

Read-through: to justify INR 357 on our cash flows you need either a sub-8% WACC or cash flows about three times ours; neither is supported by the evidence in this report.

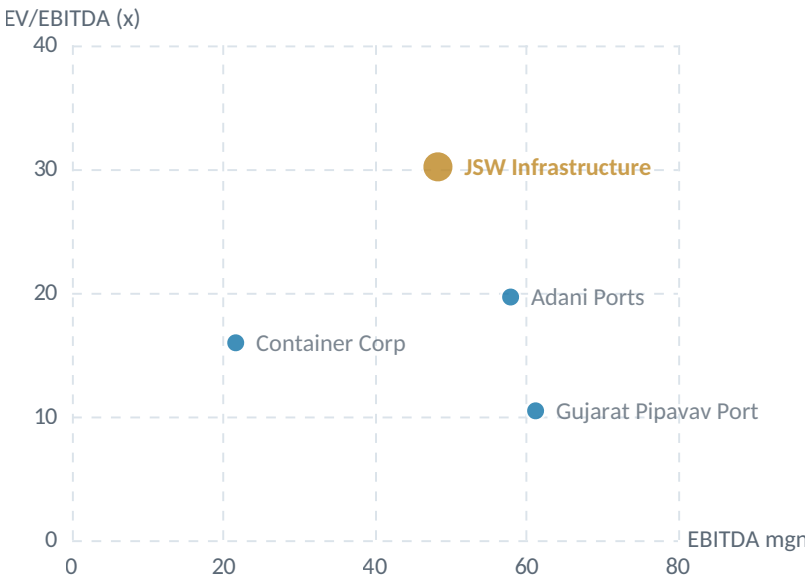
Relative valuation: the highest multiple on the lowest return

Peer comparables, trailing (priced 1 October 2026)

Company	Price	Mkt cap (Cr)	P/E (x)	EV/EBITDA (x)	EV/Sales (x)	P/B (x)	ROE (%)	EBITDA mgn (%)
JSW Infrastructure	**357.4**	**83,054**	**55.9**	**30.1**	**14.5**	**4.8**	**11.0**	**48.3**
Adani Ports and Special Economic Zone	1,737.8	400,382	30.5	19.6	11.3	4.2	16.6	57.9
Gujarat Pipavav Port	165.9	8,019	16.0	10.4	6.4	3.7	23.4	61.2
Container Corporation of India	442.0	33,664	27.1	15.9	3.4	2.6	9.8	21.6
Peer median			**27.1**	**15.9**	**6.4**	**3.7**	**16.6**	
JSWIL premium / (discount)			+106%	+89%	+127%	+30%	-34%	

Source: peer-comps build from Screener exports, consolidated. JSWIL struck at 30 June 2026 net cash and post-QIP shares; CONCOR share count corrected for its 2025 bonus; GPPL trailing window ends March 2026. JSWIL ROE is on post-QIP average equity. EV/sales is shown but not used as a band: the strategy rules it out.

EV/EBITDA vs EBITDA margin



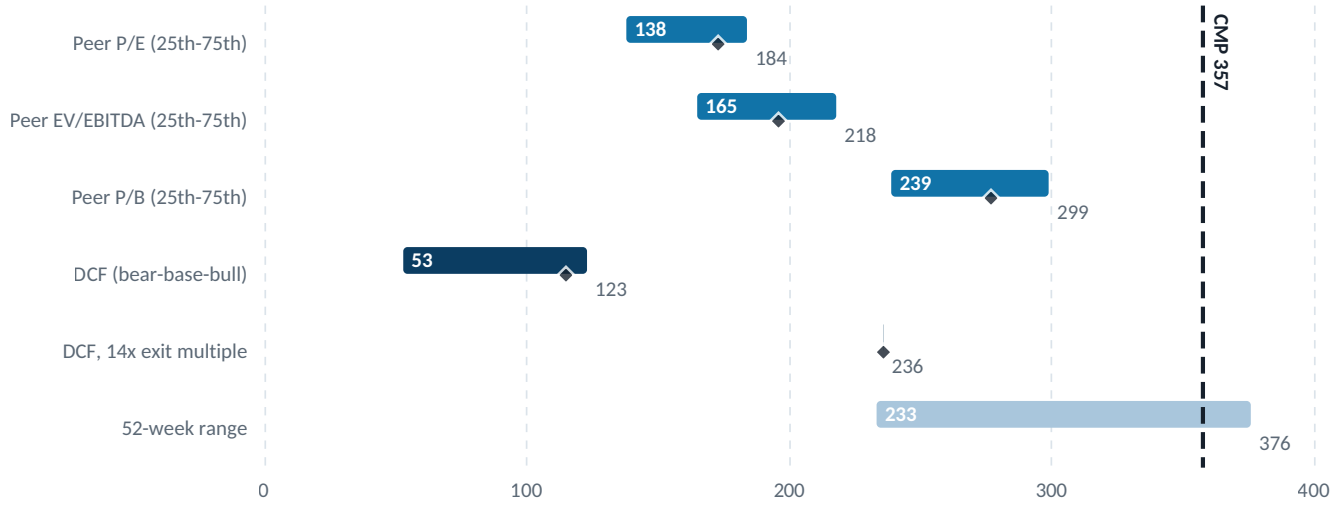
Source: peers.json

The premium is the argument. JSWIL trades at +89% to the peer median on EV/EBITDA and +106% on P/E while earning a 11.0% ROE against a 16.6% median. What could justify it is growth: management guides EBITDA to nearly double by FY28. Re-basing to FY28E EBITDA of INR 4,562 Cr, the stock is on 17.8x two years forward, against APSEZ's 19.6x *trailing*, for a business with a fifth of APSEZ's EBITDA, a single anchor customer and 82% coal and iron ore.

Applying the peer median 15.9x to FY28E EBITDA, less FY27E net debt, and discounting one year at the cost of equity gives **INR 268** a share; the trailing peer bands sit at INR 138-299. No relative lens we can defend reaches INR 357.

Read-through: JSWIL trades at 30.1x on a lower margin than both APSEZ and GPPL; the market is paying for growth, not for current economics.

Valuation football field (INR per share)



Source: model.json, peers.json; 52-week range from Screener

Read-through: Every method sits left of the INR 357 line except the 52-week range itself; the stock is priced on its own momentum, not on any valuation anchor.

Investment rationale, risks and what would change our mind

Why SELL, target INR 130

- **The valuation needs a bond-like discount rate.** At our cash flows the price implies a 6.9% WACC; our 11.51% uses a 7.20% G-sec and a beta of 0.9, below the peer range.
- **We already credit the plan.** Phase I complete by FY28, the pipeline's INR 800 Cr take-or-pay EBITDA in full, volumes inside management's 165-175 MT FY28 range. The gap to the price is not a disagreement about execution.
- **The growth is captive.** 96 of Phase I's 117 MTPA is built for JSW Steel. That makes it low-risk and also caps it: the third-party share that rose to 49% will fall, and JSW Steel already pays 31% of revenue.
- **Returns are falling into the build.** ROCE 20.9% (FY24) to 13.4% (TTM June 2026) on the company's basis; incremental returns on the last INR 6,764 Cr of capital were 6.4%.
- **Longer-dated guidance slips.** One of five year-ahead commitments delivered; FY27 volume and logistics targets were cut within six months of being set.

Risks to our view (upside)

- Phase II approvals land early and Murbe wins third-party container cargo at scale.
- Take-or-pay terms on Jatadhar and the Dolvi expansion prove richer than the INR 300-400 Cr guided.
- Fujairah normalises quickly; it was worth INR 65-70 Cr of EBITDA a quarter.
- A lower Indian rate cycle: each 50 bps off the G-sec adds about INR 10 a share (tornado).

Risks to the business (downside)

- Dharamtar's cargo agreement with JSW Steel ends 30 June 2030; Goa's concession in 2029.
- Coal and iron ore are 82% of tonnage; the company itself expects coal traffic to stay flat.
- Logistics earns 2.4% on segment assets today and is due INR 9,000 Cr more.
- Fujairah: fire loss of INR 67.8 Cr in FY26 and conflict-hit volumes in FY27.

What would change our mind

Falsifiers, logged for adjudication each quarter

Observable	Threshold	By	Our base case
Consolidated operating EBITDA, H1 FY28	INR 2,500 Cr or more	Nov-27 results	~INR 2,281 Cr
Third-party share of cargo, FY28	50% or more	May-28 results	falls below 48%
Dharamtar cargo agreement with JSW Steel	extended beyond Jun-30 on disclosed terms	31 Mar 2028	not assumed secured
FY27 cargo volume	132 MT or more	May-27 results	127 MT

Source: Each falsifier carries a metric, a threshold and a date, so the update note can rule it tripped or not.

Verdict: a well-run, well-funded port network executing a captive expansion, priced as though every rupee of the 400 MTPA plan were already contracted. **SELL**, target **INR 130** (-64%).

Catalyst calendar

Date	Event	Why it matters
7 Oct 2026	RBI policy decision	a 25 bps hike is expected; the 10Y G-sec sets our risk-free rate
Late Oct 2026	Q2 FY27 results	first read on Fujairah recovery against the 40% baked into the 127 MT guidance
Mar 2027	Slurry pipeline, Jatadhar, Jaigarh/Dharamtar due	the INR 800 Cr take-or-pay starts 1 Apr 2027 only if built on time
Sep 2027	JSW Steel Dolvi +5 MTPA	the demand behind the 36 MTPA Jaigarh/Dharamtar expansion
2029	Goa (SWPL) concession expiry	extension likely (Fitch) but not yet disclosed
30 Jun 2030	Dharamtar cargo agreement term ends	renewal terms decide a high-margin port's cash flow after FY30

Source: Company filings, Q1 FY27 call, AGM notice (AR p.227), Fitch (Aug 2026), RBI

Analyst certification, methodology and disclaimer

Methodology

Ten-year consolidated financials from Screener.in, patched from the FY26 Integrated Annual Report where Screener is incomplete (trade payables, segment data). Every source document was converted into a page-referenced knowledge base; page citations are to the PDF page of the annual report. The modelling architecture (two audited segments, capacity x utilisation x realisation for ports, volume x price for logistics) and the valuation methods were approved before any assumption was set. Forecast assumptions are cited driver by driver in assumptions_evidence.md. The DCF discounts the free cash flow of a linked three-statement model whose balance sheet ties every year; each scenario re-runs that model, and the Excel model carries the same calculation as live formulas with a scenario switch. Cash flows are discounted from the 30 June 2026 net-cash date with a stub for the rest of FY27, and the terminal value ties growth to reinvestment at a 12% return on new capital. Macro figures are dated and staleness-audited.

Stated limitations

- The slurry pipeline's tariff is not disclosed; we use management's INR 800 Cr EBITDA statement.
- Beta is reasoned from published market betas and peers; no regression on a price series was run.
- Trade payables have a two-year history only; per-port volumes did not extract reliably and are not quoted.
- **Reconstructed CFO close to reported CFO (Mar-26).** Reported FY26 CFO of INR 2,021.5 Cr bridges cleanly: operating profit before working capital INR 2,688.5 Cr, working capital INR -320.4 Cr, tax paid INR -346.6 Cr. The model's reconstruction takes working capital from Screener balance-sheet movements, which include capital creditors, deposits and balances consolidated with the Navkar acquisition. The forecast inherits this as a INR 489 Cr working-capital release in FY27 as balances move to the driver levels, worth about INR 1.5 a share.
- CEO remuneration did not extract from the governance tables and is not benchmarked.
- India's current-account balance and FY26 annual GDP are omitted rather than quoted stale.
- Q2 FY27 results, due late October 2026, are not reflected.

Disclaimer

This is an academic research project and is not a recommendation to buy, sell or hold any security. It has been prepared for educational purposes as a demonstration of equity research methodology. It is not investment advice and does not take account of the objectives, financial situation or needs of any person.

Information has been obtained from sources believed to be reliable, principally the company's regulatory filings, but no representation is made as to its accuracy or completeness. Forward-looking statements involve assumptions that may not materialise. Past performance is not indicative of future results.

The analyst holds no position in the securities discussed and has no business relationship with the subject company.

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Basis: consolidated
All figures in INR crore unless stated. Multiples in x, margin changes in bps.